Pensions From Zero

Everything you need to understand the clients you would be serving: what a pension actually is, how £1 gets from a payslip into an asset manager's hands, the two great stories playing out right now, and what each of them means commercially.

Doc 43 · Commercial awareness foundation · Asset Management, Client Solutions Group · Prepared 4 November 2026

CONTENTS

1. **Part I — Foundations.** What a pension is · the two kinds · how the money flows · who's who · the vocabulary
2. **Part II — The defined benefit story.** Why it closed · the mechanic that makes liabilities move · LDI and the 2022 crisis · the surplus era · buyout, run-on and superfunds · the Pension Schemes Act 2026
3. **Part III — The defined contribution story.** Auto-enrolment · the default fund · the adequacy problem · Mansion House · the daily dealing problem and LTAFs · megafunds
4. **Part IV — The public sector.** The LGPS and the six pools
5. **Part V — The global picture.** Scale, the big markets, and the worldwide shift
6. **Part VI — What it means commercially.** Where the money is flowing · OCIO and lift-outs · the ten things to know · how to stay current

PART I

Foundations

1 What a pension actually is

Strip away everything and a pension is one idea: **you put money aside while you are working, so you have an income when you stop.** That is it. Everything else is argument about who bears the risk that it is not enough.

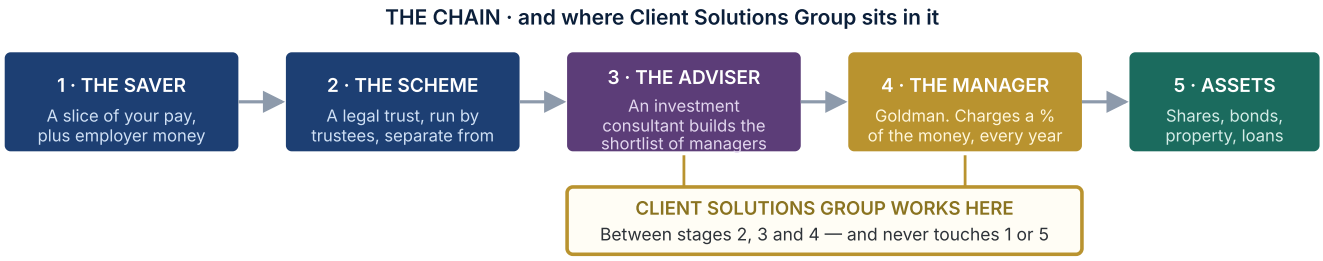
And that argument produced two completely different systems.

	DEFINED BENEFIT (DB)	DEFINED CONTRIBUTION (DC)
What is promised	A specific income for life, usually based on your salary and years of service. "Two thirds of your final salary."	Nothing is promised. You get a pot, and what it is worth is what it is worth.
What is fixed	The *benefit*.	The *contribution*.
Who carries the risk	**The employer.** If investments do badly, they have to put more in.	**You.** If investments do badly, you retire with less.
Who decides the investments	A trustee board, advised by consultants.	In practice, the provider — because almost nobody chooses.
Status in the UK	Largely closed to new members. Running down. But still enormous.	What essentially everybody now has.

The single most important sentence in UK pensions: **the risk moved from the employer to the individual, and most people whose risk it now is have never noticed.**

Hold both in your head, because they generate completely different commercial opportunities. DB is a large, shrinking, highly sophisticated pool with an endgame. DC is a smaller but *growing* pool with a policy agenda attached. Your division serves both, and they want opposite things.

2 How £1 gets from a payslip to an asset manager



Three things this picture tells you that most people miss:

· The saver at stage 1 has almost no contact with anything after it. They never chose Goldman and never will.
· The consultant at stage 3 decides who gets shortlisted. You often sell to **them**, and they never invest a penny.
· The scheme at stage 2 is a **separate legal entity** from the employer. That separation is the whole protection.

Figure 1 — The chain from payslip to asset. Simplified: in DC the provider often occupies stages 2 and 4 at once.

3 Who's who

Member	The person whose pension it is. Passive in almost every respect.
Sponsor	The employer standing behind a DB scheme. If there is a shortfall, they fund it. The strength of the sponsor is therefore part of the scheme's security — a concept called **covenant**.
Trustee	The board legally responsible for the scheme. Duty is to the *members*, not the company. Often part-time, frequently including member-nominated trustees who are ordinary employees. **This is who you present to.**
Investment consultant	Mercer, Aon, WTW, LCP, Hymans Robertson and others. They advise trustees, rate managers and build shortlists. **A manager without a rating often does not get in the room.** They are gatekeepers, not investors.
Asset manager	You. Invests the money for a fee.
Actuary	Calculates what the scheme owes and whether it has enough. Their assumptions move the numbers enormously.
The Pensions Regulator (TPR)	The UK regulator for workplace pensions.
Pension Protection Fund (PPF)	The lifeboat. If a sponsor goes bust and the scheme cannot pay, the PPF takes it over and pays reduced benefits. Funded by a levy on schemes — which was set at **zero for conventional DB schemes in 2026/27**, a sign of how much funding has improved. MEDIUM
Bulk annuity insurer	L&G, Rothesay, PIC, Aviva, Standard Life and others. They take DB liabilities onto their own balance sheet in exchange for a premium.

4 The vocabulary

Liabilities	What the scheme owes its members in future, expressed as a single number today.
Discount rate	**The most important concept in DB pensions.** To express future payments as one number today, you discount them using a market interest rate. Section 6 explains why this changes everything.
Funding level	Assets divided by liabilities. Above 100% is a surplus; below is a deficit.
Covenant	How financially strong the sponsoring employer is. A weak covenant means the scheme must be more cautious.
LDI	Liability-driven investment. Building a portfolio that moves the same way the liabilities do, so the funding level stays still.
Duration	Sensitivity to interest rates. Pension liabilities have very long duration, which is why long-dated bonds are the natural hedge.
De-risking	Selling growth assets (equities) and buying matching assets (bonds) as the scheme matures.

Buy-in / buyout	A *buy-in* is an insurance policy the scheme holds as an asset. A *buyout* transfers the liabilities entirely and the scheme winds up.
Run-on	Deliberately keeping a DB scheme going rather than buying out, usually to generate and release surplus.
Default fund	Where DC money goes when the saver expresses no preference. Which is nearly always.
Growth phase	The years of a DC saver's life when the money is invested for growth rather than being shifted toward safety near retirement. The Mansion House targets apply to these assets.

PART II

The defined benefit story

5 Why DB closed

Three things killed it, and understanding them explains the whole landscape:

1. **People stopped dying on schedule.** Longevity improved, so a promise to pay until death got much more expensive.
2. **Interest rates fell for thirty years.** Section 6 explains the mechanic, but the effect was that the measured cost of the promises ballooned.
3. **Accounting rules changed** so the deficit had to appear on the company's own balance sheet. Suddenly the pension scheme was visible to shareholders, and volatile.

So employers closed them — first to new joiners, then to further accrual — and offered DC instead. The promises already made did not disappear, which is why DB schemes remain enormous even though almost nobody is building up new benefits in one.

6 The one mechanic that explains everything

If you learn one technical thing in this document, make it this.

> A pension scheme's debt is **not a fixed number.** Future payments are converted into a single value today by discounting them at a market interest rate. So when rates move, **the debt moves** — even though the promises have not changed at all.

- Long-term interest rates **rise** → the present value of the debt **falls** → the scheme looks better funded.
- Long-term interest rates **fall** → the debt **grows** → the scheme looks worse funded.

THINK OF IT LIKE THIS

You owe someone £1,000 in thirty years. How much would you need to set aside today?

If you can earn 2% a year, you need about £552. If you can earn 5%, you need about £231.

The debt did not change — it is still £1,000 in thirty years. But what it is worth today more than halved, purely because the interest rate moved. Now imagine that debt is £10bn of pensions, and you have the whole of DB in one example.

WHY THIS IS THE KEY TO UNDERSTANDING YOUR CLIENTS

It means a pension fund can have a *great* investment year and still go backwards, because its liabilities grew faster than its assets.

Which is why pension funds do not actually want returns. They want their assets to move the same way their liabilities move. That is the entire logic of LDI, and it is why a trustee cares far more about a move in thirty-year gilt yields than about the FTSE.

7 LDI, and the thing that broke in 2022

If liabilities move with long-term interest rates, the obvious hedge is to own assets that move the same way. Long-dated government bonds do exactly that.

But there is a problem: a scheme might need £10bn of interest-rate exposure while only having £6bn to invest, because the rest needs to go into growth assets. The solution was **leverage** — using derivatives and repo to get £10bn of exposure from a smaller amount of actual cash.

That works fine, with one condition: **if rates move against you, you must post collateral, in cash, fast.**

> **WHAT HAPPENED IN SEPTEMBER 2022**
>
> After the UK mini-budget, gilt yields rose extremely sharply in a very short time. For leveraged LDI positions that meant enormous, immediate collateral calls.
>
> The cruel irony: **rising yields were good news for funding levels.** Schemes were becoming better funded on paper and simultaneously could not find the cash. To raise it they sold gilts, which pushed yields higher, which triggered more collateral calls. The Bank of England had to intervene to break the loop.
>
> **The lesson the industry took: being well hedged is not the same as being liquid.** Since then schemes hold more collateral buffers, use less leverage, and care enormously about how quickly assets can be turned into cash.

And that has a direct market consequence you should know. UK DB schemes used to be *price-insensitive* buyers of long-dated gilts — they bought because they needed duration, almost regardless of price. They have been stepping back. One estimate puts the reduction in direct gilt holdings at around **£210bn since 2020**. MEDIUM Remove a buyer who does not care about price and the remaining buyers demand more yield, which is part of why the 30-year gilt briefly went above **6% in October 2026 — the first time since 1998.** MEDIUM

8 The surplus era

Now put sections 6 and 7 together. Rates rose sharply from 2022. Liabilities therefore shrank. And UK DB schemes went from a twenty-year deficit crisis to something almost nobody planned for.

Measure	Figure
UK DB schemes in surplus, 2025	Around **82%**, per The Pensions Regulator MEDIUM
In surplus on a full buyout basis, end-2025	Around **60%** MEDIUM — a stricter measure, so a lower number. Do not quote both as if comparable.
Forecast UK buy-in and buyout volumes, 2026	**£40bn to £55bn** MEDIUM

The question changed completely. For twenty years it was **"how do we close the gap?"** Now it is **"what do we do with the extra?"** — and that is a harder question requiring *more* investment sophistication, not less.

9 The endgame: three doors

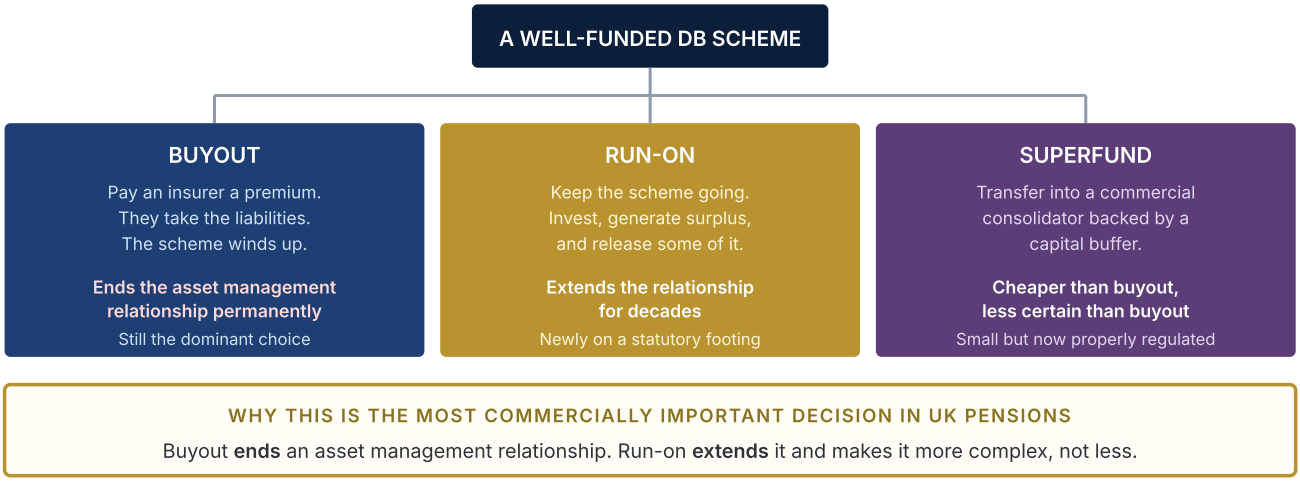


Figure 2 — The endgame decision. Same client, opposite outcomes for a manager.

10 The Pension Schemes Act 2026

This is the single most important piece of UK pensions legislation in years, and it touches everything above. **Royal Assent 29 April 2026**, with most measures in force from that day.

WELL SOURCED — confirmed across multiple law firm briefings

What it does	Why it matters
Opens up DB surplus release	Previously a scheme could only pay surplus back to the employer if its own rules allowed it *and* it was funded above buyout level. The Act broadens this, and draft rules reportedly lower the threshold from "buyout" to "low dependency" — a materially easier test. **This is what makes run-on a real option rather than a theory.** Regulations still to come; TPR guidance expected by end-2027. MEDIUM on the detail
Puts superfunds on a permanent footing	Replaces TPR's interim regime with proper authorisation and supervision. Gives trustees a third endgame door they can actually defend choosing.
Creates DC "megafunds"	Multi-employer DC schemes must reach **at least £25bn** by 2030. Schemes above £10bn that miss it can continue if they show a credible plan to get there by 2035. MEDIUM **Deliberate consolidation: fewer, larger buyers.**
Automatic consolidation of small pots	Job-hopping has left millions of tiny forgotten DC pots. The Act creates a system to sweep them together.
Reforms LGPS pooling	Including the power to compel mergers. See Part IV.
A DC value-for-money framework	Standardised assessment of whether a DC scheme is actually delivering. Shifts the debate from pure cost toward net outcomes — which matters enormously for whether expensive private assets can be justified.

> THE THREAD RUNNING THROUGH ALL OF IT
>
> Read those six items together and one intention is obvious: **the government wants fewer, bigger, better-governed pools of money, investing more adventurously, more of it in Britain.**
>
> Every single provision serves that. Consolidation creates scale. Scale makes private assets feasible. Value-for-money shifts the argument away from lowest cost. Surplus flexibility keeps DB money invested rather than handed to insurers. **If you can say that sentence, you understand UK pensions policy better than most people working in it.**

PART III

The defined contribution story

11 Auto-enrolment: what built the DC pool

From 2012, UK employers were required to automatically enrol eligible staff into a pension. You can opt out, but you have to actively choose to — and because of how people behave, very few do.

Current position, 2026/27	Figure
Minimum total contribution	**8% of qualifying earnings** MEDIUM
Minimum employer share	**3%**; the employee makes up the rest
Qualifying earnings band	Roughly **£6,240 to £50,270** MEDIUM
Unchanged since	**April 2019**

THE SENTENCE THAT MATTERS

Auto-enrolment is the most successful behavioural policy in modern British government — it got millions of people saving who never would have chosen to. **And it did it precisely by not asking them to choose.**

Which creates the thing in section 12: a system where almost nobody picks their investments, so a handful of people pick for everyone.

Be careful on future rates. There is active debate about raising the 8% — commonly cited views suggest 12 to 15% is needed for an adequate retirement income. But sources conflict badly on whether and when any increase is actually legislated. LOW **Say "there's a live debate about whether 8% is enough" rather than quoting a future number.** That is both true and safe.

12 The default fund, and why it is so powerful

When you are auto-enrolled you are asked how you want it invested. **Almost nobody answers.** So the money goes into the default.

A tiny number of investment decisions, made by a handful of providers, determine where the retirement savings of **millions of people** go. That is why a policy aimed at default funds is such an extraordinarily powerful lever — and why Part III is mostly about policy.

The seventeen Mansion House signatories between them cover around **90% of active DC savers.** MEDIUM Seventeen decisions, ninety per cent of the country's workplace saving.

13 Mansion House: pushing DC into private markets

In May 2025, seventeen of the largest UK workplace pension providers signed a voluntary accord: by 2030, at least **10% of DC default assets in private markets, with half of that — 5% — in the UK.**

The first official progress update, published by Pensions UK and the ABI on **21 October 2026** (data as at 31 December 2025): MEDIUM

Measure	Actual	2030 target	Where that leaves it
Private markets globally, % of DC growth-phase assets	6.6%	10%	Two-thirds there
UK private markets, % of growth-phase assets	3.3%	5%	Two-thirds there
In global private markets	£22.1bn	—	
In UK private markets	£11.1bn	—	Exactly half the global total

And the composition of that £11.1bn, which is the part worth knowing: **real estate £8.0bn, infrastructure £1.3bn, private credit £0.9bn, private equity £0.5bn.**

> WHAT THAT COMPOSITION TELLS YOU
>
> The policy was argued for on the basis of funding British growth companies and infrastructure. **Nearly three quarters of the money bought buildings.** Private equity got about £1 in every £22.
>
> The reason is not reluctance — it is that those asset types are not equally easy to buy. You can deploy a billion into property in one transaction, and the providers already had property teams. Private equity means hundreds of small deals and a capability most of them do not have. **Under a target and a deadline, capital buys what it can actually buy.**

14 The daily dealing problem, and LTAFs

There is a structural reason this is hard, and it is worth understanding because it is where the real work sits.

A DC default fund is priced and dealt **every day**. Private assets are not. Those two facts are in direct conflict.

If you leave your job, move provider or retire, you need a price today and your money out. The whole DC system rests on that. But a warehouse cannot be sold this afternoon, and a private company stake has no price today.

The industry's answer is the **Long-Term Asset Fund (LTAF)**: MEDIUM

- FCA rules do **not** permit an LTAF to deal daily; valuations are monthly.
- So it is used as a *sleeve* inside a daily-dealing default. The published example is Schroders' own DC scheme at roughly **80% liquid / 20% LTAF**; BlackRock's uses a similar 20%.

- LTAF assets reached about **£7.3bn by April 2026**, up from roughly £5bn in mid-2025, and nearly three-quarters of UK DC schemes say they intend to use them.
- Honest caveat: commentators note the daily dealing problem is **still not fully solved** — in a stress, redemptions can force rebalancing or asset sales.

> **WHY THIS MATTERS FOR YOUR DIVISION SPECIFICALLY**
>
> This is a **structuring** problem, not an allocation problem. The hard part is not persuading a trustee that private assets are a good idea — it is building a vehicle in which a saver who leaves next Tuesday and one who stays thirty years are both treated fairly.
>
> Solving that for a client is precisely what a solutions business does. **The constraint is capability, and capability is purchasable.**

15 Megafunds: fewer, bigger buyers

The Pension Schemes Act requires multi-employer DC schemes to reach at least **£25bn by 2030**, with a path to 2035 for those above £10bn with a credible plan. MEDIUM

The logic, borrowed explicitly from Australia and Canada: big funds can afford internal teams, access private deals directly, negotiate fees down and take long-horizon risk. Small funds cannot.

> THE COMMERCIAL CONSEQUENCE, AND IT CUTS BOTH WAYS
>
> **Good for a manager:** fewer, larger decisions. One relationship can be worth what ten used to be, and large schemes can actually buy sophisticated things.
>
> **Bad for a manager:** fewer, larger *buyers*, with far more negotiating power on fees — and enough scale to start doing things in-house instead of hiring you.
>
> That tension is the central strategic question facing institutional asset management right now, and being able to state both sides is a genuinely sophisticated thing to say.

PART IV

The public sector

16 The LGPS and the six pools

The Local Government Pension Scheme covers council workers across England and Wales. It is around **£400bn** MEDIUM — one of the largest pools of capital in the country, and unusual in being a funded *public sector* DB scheme that is still open to new members.

It was historically split across dozens of individual local authority funds, each making its own investment decisions. Since 2015 government policy has pushed them to **pool** their assets.

What happened	Detail
The March 2026 deadline was missed	Ministers lacked the statutory power to enforce it. MEDIUM
The Act fixed that	Royal Assent 29 April 2026 put pooling and governance on a statutory footing, including a power to compel mergers. Regulations laid 21 May, expected in force around 30 June 2026. MEDIUM
Six pools, not eight	The ACCESS and Brunel proposals were rejected, forcing consolidation into six. MEDIUM — some sources still say eight; six appears to be current

Why this matters to you: £400bn consolidating into six decision-making bodies, under explicit pressure to invest more in UK private assets, is one of the largest reallocations of capital happening in Britain right now. Each of those six is an institutional client of enormous scale.

PART V

The global picture

17 Scale, and the same story everywhere

Measure	Figure
Global pension assets, 22 major markets	**~$68.3tn**, up about 9.6% MEDIUM — 2025 data published Feb 2026
As a share of those economies' GDP	**~74%**
The 300 largest funds alone	**~$27.7tn**, up 13.4%
DC as a share of assets, seven largest markets	**~63%** — and rising
Sovereign wealth funds, for comparison	**~$15tn** MEDIUM

That last pension figure is the global version of the UK story: **DC has already overtaken DB worldwide.** The shift of risk from employer to individual is not a British quirk; it is happening across every major market, with the same consequences — a growing pool of money, invested by default, under growing political pressure to do something useful with it.

Context for scale: the Netherlands, Australia, Canada, Japan, Switzerland, the UK and the US dominate these totals. Australia's superannuation system and Canada's large public plans are repeatedly cited as the model UK policy is trying to copy — big, consolidated, internally capable, heavily invested in private markets.

PART VI

What it means commercially

18 Where the money is actually flowing

FIVE FLOWS TO KNOW

OUT OF DB

· To insurers, via £40–55bn a year of buyouts
· Out of long gilts, as hedging needs fall
· Into OCIO, as schemes outsource whole portfolios

INTO DC

· Every payslip, every month, automatically
· Into private markets, under policy pressure
· Into fewer, bigger megafunds

THE ASSET MANAGER'S PROBLEM, IN ONE PICTURE

DB is a large, sophisticated, **shrinking** pool that keeps handing money to insurers.
DC is a smaller but **relentlessly growing** pool that is consolidating into fewer, tougher buyers.

So you fight to keep DB money invested, and you fight to be one of the few DC managers left standing.

Figure 3 — The commercial map. MY SYNTHESIS of the trends above.

19 OCIO: the trend most relevant to your seat

Outsourced Chief Investment Officer. The scheme or company hands over **day-to-day decision-making for the whole portfolio**, not just one mandate, within a strategy the trustees still set. Sometimes the in-house team transfers across too, which is called a **lift-out**.

Why it is happening

1. **Complexity rose faster than headcount.** A £5bn scheme with four staff is now expected to have views on private credit, infrastructure, collateral management and currency hedging.
2. **Key-person risk.** If the capability lives in three heads, losing one is existential.
3. **The surplus changed the question.** "What do we do with the extra?" needs more sophistication than "how do we survive?"
4. **Operational burden.** Post-2022, running leveraged LDI means daily collateral management — an operations department, not an investment view.

Mandate	Size
Goldman OCIO assets under supervision, 31 March 2026	**$480bn** MEDIUM
Verizon and Lockheed Martin, July 2026	>**$70bn** of retirement assets MEDIUM
UPS	~$43bn
Shell	~$40bn
BAE Systems (lift-out)	~£23bn — the largest UK OCIO mandate on record
E.ON UK to Schroders Solutions, February 2026	A useful non-Goldman example

20 The ten things to know

If you retain nothing else, retain these. Cover the right column and test yourself.

Point	The substance
1. The risk moved	DB to DC means the investment risk moved from employers to individuals, and most individuals have never noticed.
2. Liabilities move with rates	Future promises are discounted at a market rate, so a scheme's debt changes daily without the promises changing at all.
3. Which is why LDI exists	Schemes want their assets to move the way their liabilities move. They are buying risk removal, not returns.
4. 2022 taught a liquidity lesson	Well hedged is not the same as liquid. Leveraged LDI meant collateral calls exactly when gilts were falling.
5. DB is now in surplus	Around 82% of schemes in 2025. The question changed from closing a gap to what to do with the extra.
6. Three endgame doors	Buyout ends the relationship, run-on extends it, superfunds are the third way. Commercially these are opposite outcomes.
7. The Act of 2026	Royal Assent 29 April 2026. Surplus release, superfunds, £25bn DC megafunds, small-pot consolidation, LGPS pooling, value for money.
8. Mansion House is behind on level, on target on mix	6.6% against 10%, £11.1bn in the UK — of which £8bn went into property and £0.5bn into private equity.
9. The daily dealing problem	DC defaults deal daily, private assets cannot. LTAF sleeves at roughly 20% are the workaround, and it is not fully solved.
10. Consolidation everywhere	£25bn DC megafunds, six LGPS pools, superfund consolidators. Fewer, bigger, tougher buyers — good and bad for a manager at once.

21 How to stay current — twenty minutes a day

- **Trade press beats general press** for this, by a mile, and almost no student reads it. *Pensions Expert*, *Pensions Age*, *Investment & Pensions Europe* (IPE), *Professional Pensions*. Half an hour in IPE is worth a week of headlines for your purposes.
- **Consultant publications** for mechanism, and they are free: LCP, Hymans Robertson, Mercer, Aon, WTW. They are written for trustees, which is to say for your clients.
- **Primary sources** when something matters: The Pensions Regulator, the DWP, the PPF's Purple Book, the Bank of England's Financial Stability Report.
- **Goldman's own**: GSAM outlooks and the annual Global Insurance Survey. Reading the house view before interviewing with the house is free value.
- **Law firm briefings** are the fastest way to understand new legislation: Squire Patton Boggs, Clifford Chance, CMS and Mayer Brown all publish accessible pensions updates.

THE ONE SENTENCE THAT HOLDS THIS WHOLE DOCUMENT TOGETHER

British pension money is being consolidated into fewer and bigger pools, pushed to invest more adventurously and more domestically, and handed increasingly to outside managers because the schemes themselves cannot build the capability fast enough.

Every trend in this document is a facet of that. If you can say it in your own words and then evidence it with two numbers, you will understand the commercial context of your division better than almost anyone else applying.

Sourcing and confidence. HIGH: the Pension Schemes Act 2026 receiving Royal Assent on 29 April 2026 and its broad contents, confirmed across several law firm briefings. MEDIUM: global pension assets of $68.3tn and the $27.7tn top-300 figure from the Thinking Ahead Institute's 2026 studies via secondary reporting; the ~82% and ~60% DB surplus measures; £40–55bn buyout forecasts; the ~£210bn reduction in DB gilt holdings; the October 2026 30-year gilt move above 6%; all Mansion House figures from the 21 October 2026 update, which reports data as at 31 December 2025; LTAF details including the £7.3bn April 2026 total and the Schroders 80/20 example; LGPS at ~£400bn consolidating into six pools; auto-enrolment rates and thresholds; the £25bn megafund threshold; the PPF zero levy; and all OCIO mandate sizes including Goldman's $480bn. LOW: any future auto-enrolment contribution rate — sources conflict and you should not quote one. All figures should be re-verified before you say them out loud; several come from trade press I could not check against primary filings. The commercial synthesis in Part VI is my framing rather than a published view.